

LIC Jeevan Shanti - Immediate Annuity Retirement Plan

1. Plan Overview

LIC's Jeevan Shanti is a Single Premium, Non-Linked, Non-Participating, Individual, Savings Annuity Plan. You pay a one-time lump sum (purchase price) and receive a guaranteed income (annuity) for life or for a chosen period. It is ideal for retirement planning.

2. Annuity Options

Option	Description	Return of Purchase Price?
Option A	Immediate Annuity for Life	No
Option B	Annuity for 5/10/15/20 years and then for life	No
Option C	Annuity for Life with return of 50% of purchase price	Partial
Option D	Annuity for Life with return of 100% on death	Yes
Option E	Annuity for Life, increasing at 3% p.a.	No
Option F	Joint Life: last survivor annuity with 50% to spouse	No
Option G	Joint Life: with 100% annuity to spouse on premature death	No
Option J	Joint Life: with return of 100% purchase price on premature death	Yes

3. Sample Annuity Rates

For a Purchase Price of Rs. 10,00,000 (Option D - Life with return of purchase price):

Age at Purchase	Annual Annuity	Monthly Annuity	Annuity Rate
45 years	Rs. 59,000	Rs. 4,917	5.90%
50 years	Rs. 64,500	Rs. 5,375	6.45%
55 years	Rs. 71,200	Rs. 5,933	7.12%
60 years	Rs. 80,500	Rs. 6,708	8.05%
65 years	Rs. 92,800	Rs. 7,733	9.28%

4. Retirement Planning: NPS vs PPF vs Annuity

Feature	NPS	PPF	LIC Annuity
Returns	Market-linked	7.1% p.a.	Guaranteed
Tax on withdrawal	Partial taxable	Tax-free	Taxable income
Lock-in	Till 60	15 years	Immediate income
Risk	Medium	Low	None
Flexibility	High	Medium	Low (irrevocable)

5. Who Should Buy?

- Retirees aged 50+ who want guaranteed monthly income
- Those with a large lump sum (PF/Gratuity/property sale proceeds)
- People who cannot manage investments themselves
- Those wanting income security for spouse (joint life options)

Minimum Purchase Price: Rs. 1,50,000 | No Maximum Limit